NATIONAL COMPANY LAW TRIBUNAL

AMARAVATI BENCH
(Video Conference)

PRESENT: HON'BLE SHRI BHASKARA PANTULA MOHAN – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 26.02.2021 AT 2.30 PM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CA(CAA) NO. 1/230/AMR/2021
NAME OF THE COMPANY	CCL Beverges Pvt Ltd (Transferor Co.) & CCL Products (India) Ltd (Transferee Co.)
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA allowed. Order pronounced vide separate sheets.

Sd/-

MEMBER JUDICIAL

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NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH

CA(CAA)No. 1/230/AMR/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of

CCL Beverages Private Limited
Door No./Sy.No. 269/1, Kuvvakolli Vellage,
Varadaiahpalem Mandal, Chittoor,
Andhra Pradesh – 517 645. ... Applicant/Transferor Company

CCL Products (India) Limited
Duggirala,
Guntur,
Andhra Pradesh – 522 330. ... Applicant/Transferee Company

Date of Order: 26.02.2021

CORAM

Hon'ble Bhaskara Pantula Mohan, Member Judicial

Appearance:

For Applicants: Mr. Y. Suryanarayana, Advocate.

ORDER

The present Company Application filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 inter alia seeks an order to dispense with convening of the meeting of the Equity Shareholders, Secured and Unsecured Creditors of the Transferor Company, for the purpose of amalgamation of the Transferor Company with the Transferee Company. It also prayed to convene the meeting of the Equity Shareholders and Trade/Sundry Creditors of the

Transferee Company for consideration of the Scheme of Amalgamation (the Scheme for short).

2. Brief facts leading to the filing of present case are as follows:

(a) The Applicant/Transferor Company was incorporated as a Private Limited Company on 14.10.2019. The Authorised Share Capital as on 31.03.2020 is Rs. 10,00,000/- divided into 1,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid up equity share capital is Rs. 1,00,000/- divided into 10,000 equity shares of Rs.10/- each. The main objects of the Transferor Company are to carry on the business, either solely or in collaboration with other persons or entities, whether of Indian or foreign origin, to manufacture, buy, sell, retail, wholesale, trade, market, import, export, process, manipulate, prepare, preserve, carry on, refine, bottle and to deal in all types of coffee, tea, chicory, cocoa, milk, milk products, sugar, sugar substitutes and other similar products, manufactured or raw state, whether in India or elsewhere either in wholesale and/or in retail or otherwise, etc.

The Transferor Company is wholly owned subsidiary of the Transferee Company.

(b) The Applicant/Transferee Company was incorporated as a Public Company on 22.03.1961 under the name "Sahayak Finance & Investment Corporation Limited'. Subsequently, the name of the Company was changed from time to time and the present name of the Company is CCL Products (India) Limited and the ROC issued fresh certificate of incorporation on 21.11.2002. The Authorised Share Capital as on 31.03.2020 is Rs. 30,00,00,000/- divided into

15,00,00,000 equity shares of Rs. 2/- each. The issued, subscribed and paid up share capital is Rs. 26,60,55,840/- divided into 13,30,27,920 equity shares of Rs.2/- each. Main objects of the Company are to carry on the business solely or in collaboration with others, Indian or foreign, in manufacture of Coffee, Tea, Chicory, Cocoa, Milk Products, condensed Milk, Cheese, Plain and all flavoured, Yoghurt, Shrikhand, Creamers including non-dairy creamer, sweetner, natural & artificial and the like, in all or any of their forms etc.

3. According to the Applicant Companies, the present Scheme contemplates amalgamation of the Wholly Owned Subsidiary with its parent Company, which would therefore lead to a more efficient utilization of management level decisions and implementation thereof. It would also result in reduction of multiplicity of entities, thereby reducing compliance cost of multiple entities viz., statutory filings, regulatory compliances, labour law/establishment related compliances.

4. The Board of Directors of the Applicant Companies in their respective Board Meetings held on 20.10.2020 has approved the Scheme with appointed date as 01.04.2020, subject to the approval of their shareholders and creditors.

5. No investigation proceedings have been instituted or are pending under Section 210 to 227 of the Companies Act, 2013 against the Applicant Companies.

6. The **Transferor Company** has filed certificate of the Auditor stating that as on 09.01.2021 there are two (2) **Equity Shareholders i.e.** The Transferee Company (holding 9,999 equity shares) and one Mr. Challa

Srishant (Nominee of Transferee Company holding one (1) share) together holding 10,000 equity shares, out of which the Transferee Company holding 9,999 equity shares constituting 99.99% has given its consent in the form of affidavits agreeing to the Scheme.

7. The **Transferor Company** has filed certificate of the Auditor stating that as on 01.01.2021 there is one(1) **Secured Creditor** i.e. Citi Bank N.A. in the Transferor Company and has given its consent agreeing to the Scheme.

8. The **Transferor Company** has filed certificate of the Auditor to the effect that as on 01.01.2021 there are no **Unsecured Creditors** in the Transferor Company.

9. The **Transferee Company** submitted that the equity shares of the Transferee company are listed and traded on the BSE Limited bearing Scrip Code: 519600 and on the National Stock Exchange of India Limited bearing Symbol: CCL and total shareholders/members in the Transferee Company as on 31.12.2020 are 34,189.

10. The **Transferee Company** has filed certificate of the Auditor stating that as on 31.12.2020 there are four (4) **Secured Creditors** i.e. SBI, HDFC Bank, ICICI Bank and CITI Bank (SBI Cap Trustee Limited acting as trustee for the above Banks) in the Transferee Company and have given its consent agreeing to the Scheme.

11. The **Transferee Company** has filed certificate of the Auditor to the effect that as on 31.12.2020 there are no **Unsecured Creditors** in the Transferee Company.

12. The **Transferee Company** has filed certificate of the Auditor stating that as on 31.12.2020 there are Four Hundred and Thirty Four (434) **Trade/Sundry Creditors aggregating Rs.38,60,45,049/-**.

13. Heard the submissions made in this regard bythe Counsel for the Applicant Companies and perused the documents filed.

14. The Equity Shareholder (99.99%) of the Transferor Company has given its consent affidavit agreeing to the Scheme. Hence the meeting of the **Equity Shareholders** of the **Transferor Company** can be dispensed with, in terms of Section 230(9) of the Act.

15. The Sole Secured Creditor of Transferor Company and All the Secured Creditors of the Transferee Company have given their consent agreeing to the Scheme. Hence, the meetings of the **Secured Creditors** of both the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

16. There are no Unsecured Creditors in both the Applicant Companies and hence no need to order for the meetings of the Unsecured Creditors in both the Applicant Companies.

17. With regard to the Equity Shareholders and Trade/Sundry Creditors of the Transferee Company the following order is passed:-

    a) A meeting of the **Equity Shareholders** of the **Transferee Company** shall be held **on 10.04.2021 at 11.00 AM through Video Conferencing (VC)/Other Audio-Visual Means (OAVM)** for the purpose of considering the Scheme.

b) A meeting of the **Unsecured Creditors** of the **Transferee Company** shall be held **on 10.04.2021 at 12.30 PM through Video Conferencing (VC)/Other Audio-Visual Means (OAVM)** for the purpose of considering the Scheme.

c) Mr. J. Basavaraju, Advocate (Mobile No.9849474600) shall be the Chairman of the aforesaid meetings and in respect of any adjournment thereof.

d) Ms. Varalakshmi, PCS (Mobile No.9000987444) is appointed as the Scrutinizer for the aforesaid meetings and in respect of any adjournment thereof. .

e) The consolidated remuneration of Chairman is fixed at Rs.2,00,000/- (Rupees Two Lakhs only) and that of the scrutinizer is fixed at Rs.1,00,000/- (Rupees One Lakh only).

f) At least one month before 10.04.2021 i.e. the date of the aforesaid meeting, an advertisement about convening of the said meetings, indicating the day, date, place and time, as aforesaid, shall be published in Financial Express (English daily) and Andhra Prabha (Telugu daily). The publication shall indicate the time within which copies of Scheme shall be made available to the persons concerned free of charge from the registered office of the Applicant/Transferee Company. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at the registered office of the Transferee Company or at the office of its Advocate i.e. Mr. Y. Suryanarayana, Flat No,

106, Nirmal Towers 200, Near Sai Baba Temple, Dwarakapuri Colony, Punjagutta, Hyderabad – 500 082, in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

g) The Chairman appointed for the aforesaid meeting of the Equity Shareholders and Unsecured Creditors shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman would be at liberty to avail the services of the Applicant/Transferee Company or any agency for carrying out the aforesaid directions. The Chairman shall have all the powers under the Articles of Association of the Transferee Company and also under the Rules in relation to the conduct of the meeting, including deciding any procedural questions that may arise at the meeting or adjournment(s) to the aforesaid Scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the meeting of the Equity Shareholders and Unsecured Creditors by ballot/polling paper during the meeting.

h) The quorum for the meeting of the Equity shareholders shall Thirty (30) and Trade/Sundry Creditors shall be 15 (Fifteen) persons present in person/proxy.

i) Voting by proxy/authorised representatives shall be permitted provided authorisation duly signed by the person entitled to attend and vote at the aforesaid meeting is filed with the Applicant/Transferee Company at the Registered Office mentioned at point (a) above, not later than 48 hours before the

meetings as provided under Section 105 of the Act and vide Rules made thereunder.

j) The Chairperson shall file an Affidavit not less than 7 (seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016 ('the Rules').

k) The Chairperson shall report to this Tribunal on the result of the meeting in Form No.CAA-4, duly verified by his affidavit, as per Rule 14 of the Rules within seven working days of the meetings.

l) The applicant Companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 of the Rules to (i) the Central Government through the Regional Director, South Eastern Region, Ministry of Corporate Affairs; (ii) the Registrar of Companies, Andhra Pradesh; (iii) the Income Tax Authorities; (iv) the Official Liquidator and (v) BSE and NSE, in compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Rules. The said notices shall be sent either by Registered Post or by Speed Post or by Courier or by Hand delivered at the Offices of the authorities as required under Rule 8(2) of the Rules. The aforesaid authorities, desirous of making any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of

receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

18. Accordingly, the Company Application i.e. CA(CAA)No. 1/230/AMR/2021 be and the same is disposed.

Sd/-

BHASKARA PANTULA MOHAN
MEMBER JUDICIAL